Bank Reconciliation Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	December 2025
Source Document	Bank Statement — December 2025
Source File	meridian_bank_rec_dec2025.csv
Source Context	Statement from First National Bank, Acct #****7842
Reference	REC-2026-1023-202
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

I. Scope

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Source ... Bank Statement — December 2025 (meridian_bank_rec_dec2025.csv)
Period Tested ........................... December 2025
Total Transactions Analyzed ..................... 372
Bank Statement Transactions ..................... 360
General Ledger Transactions ..................... 354
Bank Column Detection Confidence ................ 95%
Ledger Column Detection Confidence .............. 91%
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The automated bank reconciliation analysis procedures documented in this workpaper were performed on the bank statement and general ledger cash records provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	95%
Column Confidence	93%
Tests Executed	8
Tests Clear	4
Items for Review	44

II. Methodology

The following automated reconciliation tests were applied to the bank statement and general ledger transaction data. Each test is classified by tier (structural, statistical, or advanced) and described below:

Test	Tier	Description
Exact Match Reconciliation	Structural	Reconciles bank statement transactions to general ledger entries using exact amount matching with configurable date tolerance. Greedy algorithm matches largest amounts first to minimize residual differences.
Bank-Only Items	Structural	Identifies transactions present on the bank statement but absent from the general ledger. These represent outstanding deposits in transit that have not yet been recorded in the books.
Ledger-Only Items	Structural	Identifies transactions recorded in the general ledger but not yet cleared at the bank. These represent outstanding checks or disbursements pending bank clearance.

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Test	Tier	Description
Stale Deposits (>10 days)	Structural	Flags outstanding deposits older than 10 days before the statement date. Deposits in transit older than 10 days may indicate fictitious deposits recorded in the ledger but not yet cleared at the bank.
Stale Checks (>90 days)	Structural	Flags outstanding checks older than 90 days. Stale checks may require escheatment review under applicable unclaimed property laws and may indicate fictitious disbursements recorded in the ledger.
NSF / Returned Items	Advanced	Searches transaction description fields for keywords indicating returned or dishonored items (NSF, RETURN, INSUFFICIENT, R01, R02, CHARGEBACK, REVERSED, DISHONORED). NSF items may indicate customer financial distress or payment fraud per ISA 240.
Interbank Transfers	Advanced	Flags same-day matching debit/credit pairs above $10,000 as potential check kiting indicators per ISA 240 (A40). Kiting involves exploiting float between accounts to artificially inflate balances.
High Value (>Materiality)	Statistical	Flags individual transactions exceeding performance materiality. High-value items warrant individual verification per ISA 500 to confirm proper authorization and recording.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Reconciliation Results

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Matched Transactions ..................... 342 (91.9%)
Matched Amount ........................... $4,782,340.00
Bank-Only (Outstanding Deposits) ................... 18
Ledger-Only (Outstanding Checks) ................... 12
Reconciling Difference ..................... $6,750.00
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Category	Amount
Bank Statement Total	$4,828,010.00
General Ledger Total	$4,821,260.00
Reconciling Difference	$6,750.00

Note: Bank Statement and General Ledger totals above represent aggregate transaction activity (sum of matched and unmatched items), not ending account balances.

Ending Balance Reconciliation

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Bank Balance (per statement) ............ $1,251,750.00
Less: Outstanding Deposits (in transit) .... $45,670.00
Plus: Outstanding Checks ................ + $38,920.00
Adjusted Bank Balance ................ = $1,245,000.00
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Book Balance (per GL) ..................  $1,245,000.00
Adjusted Book Balance ..................  $1,245,000.00
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✓ Reconciled — adjusted bank balance agrees to book balance.

Reconciling Difference Analysis

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Amount ....................................  $6,750.00
Direction ... Bank > GL (bank shows more activity than ledger)
As % of Total Activity ....................  0.14%
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Potential Explanations:

■ GL recording omission — transaction present in bank, not in GL

■ Bank error — transaction on bank statement not belonging to this account

■ Timing difference — transaction outside the matching window

■ Fraudulent transaction — unauthorized transaction cleared at bank

Note: An unreconciled AR subledger difference of $8,450.00 was identified in the AR Aging Analysis memo (Ref: ARA-2026-1023-202). The bank and AR differences should be investigated concurrently to determine whether they are related.

IV. Outstanding Items

Outstanding Deposits (Bank-Only) — Aging Analysis

Transaction Date	Days Outstanding	Description	Amount	Priority
2025-10-15	77	Check #4488 - Old deposit	$500.00	HIGH (77d)
2025-11-01	60	ACH - Disputed refund	$800.00	HIGH (60d)
2025-11-18	43	Wire - Settlement proceeds	$2,100.00	HIGH (43d)
2025-11-25	36	Check deposit #4501 - Overdue	$1,200.00	HIGH (36d)
2025-12-01	30	ACH deposit - Service fee	$1,950.00	MODERATE (30d)
2025-12-05	26	Wire - Year-end bonus refund	$3,100.00	MODERATE (26d)
2025-12-10	21	Check deposit #4510	$850.00	MODERATE (21d)
2025-12-12	19	ACH deposit - Royalty pmt	$1,600.00	MODERATE (19d)
2025-12-15	16	Wire - Consulting fee	$2,700.00	MODERATE (16d)
2025-12-18	13	Check deposit #4515	$920.00	MODERATE (13d)
2025-12-20	11	ACH deposit - Tenant rent	$3,800.00	MODERATE (11d)

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Transaction Date	Days Outstanding	Description	Amount	Priority
2025-12-22	9	Wire - Meridian Sub LLC	$1,450.00	LOW (9d)
2025-12-24	7	Check deposit #4519	$2,300.00	LOW (7d)
2025-12-27	4	ACH deposit - Insurance refund	$750.00	LOW (4d)
2025-12-28	3	Wire - Pinnacle Partners	$4,100.00	LOW (3d)
2025-12-29	2	Check deposit #4521	$1,850.00	LOW (2d)
2025-12-30	1	ACH deposit - Quarterly rebate	$3,200.00	LOW (1d)
2025-12-31	0	Wire transfer - Atlas Corp	$12,500.00	LOW (0d)
Total			$45,670.00	

Outstanding Checks (Ledger-Only) — Aging Analysis

Transaction Date	Days Outstanding	Description	Amount	Priority
2025-07-01	183	Check #8700 - Uncashed	$1,000.00	HIGH (183d)
2025-08-20	133	Check #8755 - Stale pmt	$1,570.00	HIGH (133d)
2025-09-15	107	Check #8790 - Old vendor	$3,200.00	HIGH (107d)
2025-11-01	60	Check #8845 - Equipment	$1,900.00	MODERATE (60d)
2025-11-15	46	Check #8860 - Legal fees	$2,400.00	MODERATE (46d)
2025-12-01	30	Check #8875 - Lease pmt	$3,800.00	LOW (30d)
2025-12-10	21	ACH pmt - Payroll tax	$8,200.00	LOW (21d)
2025-12-15	16	Check #8888 - Insurance	$5,600.00	LOW (16d)
2025-12-20	11	ACH pmt - Vendor A	$3,400.00	LOW (11d)
2025-12-24	7	Check #8895 - Utilities	$2,100.00	LOW (7d)
2025-12-28	3	Check #8899 - Contractor pmt	$4,500.00	LOW (3d)
2025-12-30	1	Check #8901 - Office supplies	$1,250.00	LOW (1d)
Total			$38,920.00	

Outstanding Items Summary

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Deposits > 10 days old ... 11 $19,520.00 (43% of total deposits)
Deposits > 30 days old ... 4 $4,600.00 Priority: HIGH
Checks > 90 days old ... 3 $5,770.00 Priority: HIGH (stale)
Checks > 30 days old ..................... 5 $10,070.00
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Outstanding items represent transactions present in one source but not the other. These may represent timing differences, recording errors, or items requiring investigation.

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V. Results Summary

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Composite Diagnostic Score ................. 33.0 / 100
Diagnostic Tier ..................... ELEVATED (33/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total Items Flagged ............................... 44
High Severity Flags ................................ 4
Medium Severity Flags .............................. 37
Low Severity Flags ................................. 3
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Test	Flagged	Severity
Stale Deposits (>10 days)	11	HIGH
Stale Checks (>90 days)	3	MEDIUM
NSF / Returned Items	0	LOW
Interbank Transfers	0	LOW
High Value (>Materiality)	0	LOW

VI. Key Findings

1. Reconciling Difference of $6,750.00 (HIGH)

A reconciling difference of $6,750.00 exists between bank statement activity ($4,828,010.00) and general ledger activity ($4,821,260.00). This difference has not been explained by the automated matching process.

Suggested follow-up: As a priority follow-up action, investigate the reconciling difference. Determine whether the variance represents a bank error, a GL recording omission, a timing item not captured in the matching window, or a fraudulent transaction. Document the resolution with supporting evidence.

Note: An unreconciled AR subledger difference of $8,450.00 was identified in the AR Aging Analysis (Ref: ARA-2026-1023-202). These two differences may be related — investigate concurrently.

2. Outstanding Items Volume (MEDIUM)

30 outstanding items remain unmatched (18 deposits totaling $45,670.00; 12 checks totaling $38,920.00). Aging analysis in Section IV identifies items requiring priority investigation.

Suggested follow-up: Building on the initial assessment, evaluate the volume of outstanding items relative to total transactions. A high outstanding ratio may indicate systemic recording delays, cut-off issues, or inadequate reconciliation procedures by the entity.

3. Stale Deposits (>10 days) (HIGH)

11 item(s) flagged by the Stale Deposits (>10 days) test.

Suggested follow-up: To further substantiate the finding, obtain supporting documentation for all outstanding deposits older than 10 days. Deposits in transit older than 10 days may indicate fictitious deposits recorded in the ledger but not yet cleared at the bank. Verify deposit slips and bank confirmation of receipt.

4. Stale Checks (>90 days) (MEDIUM)

3 item(s) flagged by the Stale Checks (>90 days) test.

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Suggested follow-up: As a priority follow-up action, review checks outstanding more than 90 days for stale-dated items. Stale checks may require escheatment review under applicable unclaimed property laws and may indicate fictitious disbursements recorded in the ledger. Obtain void confirmations or reissue documentation.

VII. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 305-10	Cash and Cash Equivalents — Overall	Current
FASB	ASC 230-10	Statement of Cash Flows — Overall	Current

VIII. Conclusion

Based on the automated reconciliation procedures applied, the bank reconciliation returned ELEVATED (33/100) flag density (Composite Diagnostic Score: 33.0/100) across the automated tests. The reconciling difference and/or outstanding item volume may indicate recording errors, omissions, or unusual transactions requiring detailed investigation per ISA 500 and ISA 505.

This memo documents automated bank reconciliation analysis testing procedures testing procedures with reference to ISA 500 (Audit Evidence), ISA 505 (External Confirmations), and PCAOB AS 2310. Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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